

Done!

www.XtremePapers.com



UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS  
General Certificate of Education  
Advanced Subsidiary Level and Advanced Level

**ECONOMICS**

Paper 1 Multiple Choice (Core)

9708/12

May/June 2013

1 hour

Additional Materials: Multiple Choice Answer Sheet  
Soft clean eraser  
Soft pencil (type B or HB is recommended)

**READ THESE INSTRUCTIONS FIRST**

Write in soft pencil.

Do not use staples, paper clips, highlighters, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

**DO NOT WRITE IN ANY BARCODES.**There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.**Read the instructions on the Answer Sheet very carefully.**

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zaralek Mustaq

Solved with reasons

This document consists of **12** printed pages.

2

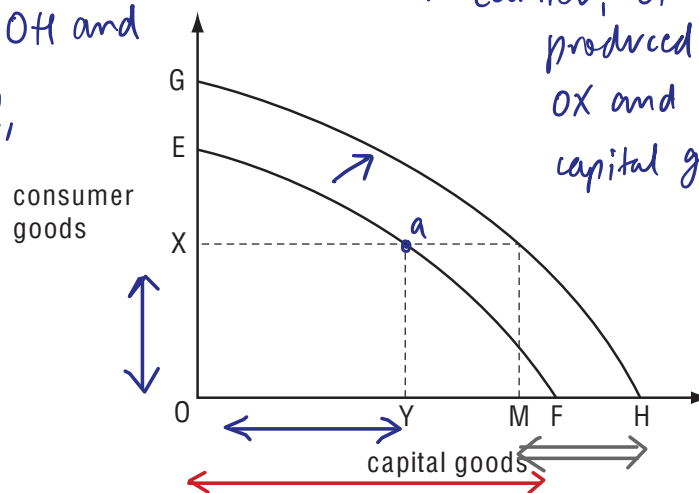
- 1 A government minister states that the main economic benefit of locating a new factory in a coastal region is the 500 jobs it will create.

What does this statement imply about the coastal region?

- ☒ A Alternative employment opportunities are scarce. (limited)  
 B Job seekers have a wide range of choices open to them. (No they don't)  
 C Labour is a scarce resource. Didn't mention  
 D Unemployment is at a low level. Unemployment is high

- 2 The diagram shows two production possibility curves (EF and GH), before and after technological progress has taken place.

\* After technology, OH and OG can be produced, combination of OX and OM, forgoe of MH.



\* Earlier, OF and OE can be produced, combination of OX and OY, forgoe YF of capital good.

After technological progress has taken place, what is the opportunity cost in capital goods of producing OX consumer goods?

- ☒ A MH      B OH      C OM      D YF

- 3 The table shows indicators for four countries undergoing a transition to a market economy. Planned to market

Which country has achieved the most indicators of a successful transition? 3 out of 4

|                                       | prices        | exchange rate system | stock exchange | inward investment |
|---------------------------------------|---------------|----------------------|----------------|-------------------|
| A                                     | administered  | managed              | yes ✓          | allowed ✓         |
| B                                     | administered  | floating ✓           | no             | controlled        |
| <input checked="" type="checkbox"/> C | liberalised ✓ | floating ✓           | no             | allowed ✓         |
| D                                     | liberalised ✓ | managed              | yes ✓          | controlled        |

Maximum ticks!

flexible

3

- 4 A kitchen manufacturer wanted to become more efficient. It decided to move to an industrial estate and to increase the division of labour in the manufacture of its products.

Which statement about the division of labour is correct? *connected to specialization*

- A It occurs only in manufacturing industry. *No, any industry*  
 B It occurs only in market economies. *No, any economy*  
 C It occurs only when similar firms are located in the same area. *No, anywhere*  
 ✓ D It occurs only when workers become more specialised.

- 5 What will cause a shift in the demand curve for a computer?

- A a change in the cost of production of the computer, *supply factor,  $S \downarrow$*   
 B a change in the price of the computer, *movement*  
 ✓ C a change in the performance of the computer *other factor, shift*  
 D the imposition of a specific tax on the computer *supply  $\downarrow$*

- 6 If the price of maize rises, the quantity of maize demanded should fall. *correct*

If the demand for maize decreases, the price of maize should rise. *incorrect*

What can be said about these two statements?

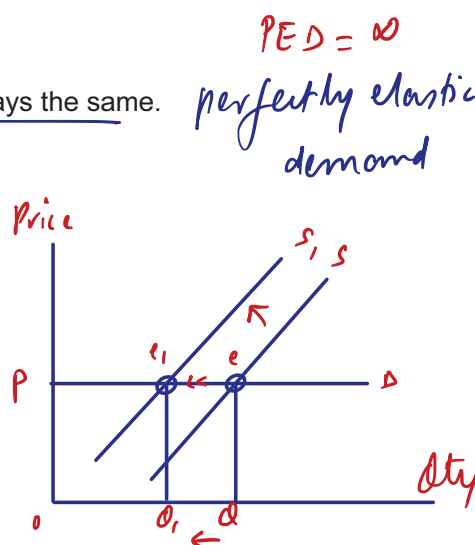
*Shift* ←

|     | first statement | second statement |
|-----|-----------------|------------------|
| A   | correct ✓       | correct          |
| ✓ B | correct ✓       | incorrect ✓      |
| C   | incorrect       | correct          |
| D   | incorrect       | incorrect ✓      |

- 7 When the supply of a good decreases, equilibrium price stays the same.

What is the price elasticity of demand of the good?

- A -1 *Unitary*  
 B zero *perfectly inelastic*  
 C +1 *Doesn't exist*  
 ✓ D infinite



- 8 A product is an inferior good with no close substitutes. It is also a complement to good X.

Which product matches the above description?

| product      | price elasticity of demand | income elasticity of demand | cross elasticity of demand with respect to the price of X |
|--------------|----------------------------|-----------------------------|-----------------------------------------------------------|
| A            | -2                         | +2                          | +1                                                        |
| B            | -2                         | +2                          | -1 ✓                                                      |
| C            | -0.5 ✓                     | -2 ✓                        | +1                                                        |
| <del>D</del> | -0.5 ✓                     | -2 ✓                        | -1 ✓                                                      |

- 9 A supply curve is represented by the equation, quantity supplied =  $10 + 5P$ , where  $P$  = the price of the product.

Which price rise would cause the quantity supplied to double?

- A \$1 to \$2      B \$1 to \$3      ~~C~~ \$1 to \$4      D \$1 to \$5

$Q_s = 10 + 5P$      $P = \$1$   
 $* Q_s = 15$     'Double'  
 $* Q_s = 30$      $P = \$4$

- 10 Firm Z is one of a number of firms producing televisions.

What would cause firm Z's supply curve to shift to the left whilst the market supply curve for televisions shifts to the right?

- A Firm Z benefits more from advances in technology than the other firms in the industry.  
 ✓ B Firm Z experiences a strike whilst more firms enter the industry. *Supply ↓*  
 C Firm Z passes on more of a tax to its customers than the other firms in the industry.  
 D Firm Z reduces its costs of raw materials whilst other firms in the industry lower their wage costs.

- 11 A country's government announces that the penalties imposed on those found guilty of supplying an illegal drug to others are to be increased but that possession of small quantities of the drug for an individual's own use will no longer be illegal.

What effect are these changes likely to have on the illegal market price of that drug and on the quantity consumed?

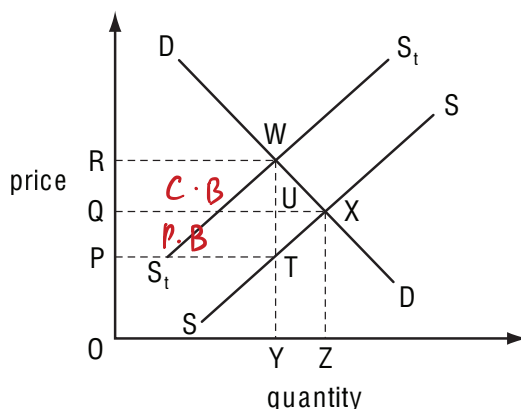
|     | illegal market price | quantity consumed |
|-----|----------------------|-------------------|
| A   | increase ✓           | decrease          |
| ✓ B | increase ✓           | uncertain ✓       |
| C   | uncertain            | decrease          |
| D   | uncertain            | uncertain ✓       |

penalties ↓  
prices ↑

penalties ↑  
 consumption ↓  
 but small qty allowed  
 consumption ↑

5

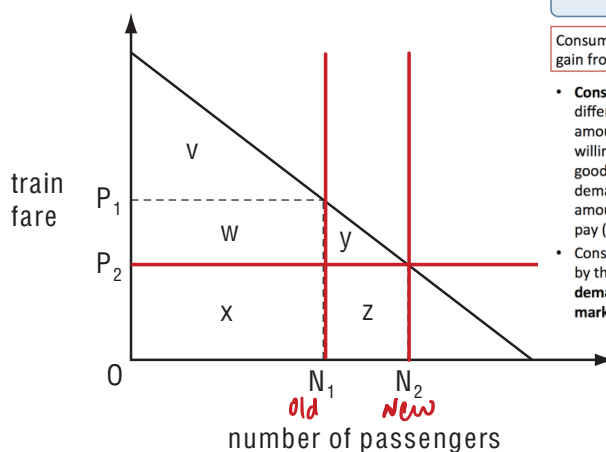
- 12 A specific tax is placed upon each bottle of perfume sold. In the diagram, SS is the supply curve before tax,  $S_t S_t$  is the supply curve after tax.



Which area represents that part of the tax revenue paid by consumers?

- A ORWY *TR/TE*      B PQUT *P.B*      C PRWT *Government revenue*      ☒ D QRWU *Consumer Burden*

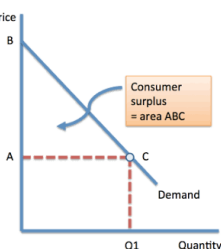
- 13 The diagram shows the change in the number of passengers when a company reduces the fare for a train journey from  $OP_1$  to  $OP_2$ .



#### What is Consumer Surplus?

Consumer surplus is a measure of the economic welfare that people gain from purchasing and then consuming goods and services

- Consumer surplus is the difference between the total amount that consumers are willing and able to pay for a good or service (shown by the demand curve) and the total amount that they actually do pay (i.e. the market price).
- Consumer surplus is indicated by the area under the demand curve and above the market price.



Which areas measure the consumer surplus at the new fare for the original passengers and for the additional passengers?

|                                       | original passengers | additional passengers |
|---------------------------------------|---------------------|-----------------------|
| A                                     | v                   | y ✓                   |
| <input checked="" type="checkbox"/> B | v + w ✓             | y ✓                   |
| C                                     | v + w + x           | y + z                 |
| D                                     | x                   | z                     |



No price attached to it!



6

14 Which is **not** an example of an externality?

- ☒ A The establishment of a new firm in an area increases the general level of wage rates in the area. *Price attached*
- ☐ B The flowers planted by a householder in his garden give pleasure to his neighbours. *Price not attached*
- ☐ C The immunisation of children against smallpox reduces the danger of the risk of infection to others. *Price not attached*
- ☐ D The installation of security cameras in a city centre results in an increase in thefts elsewhere. *Action of one affecting other*

15 A government decided to approve a private airport-building scheme because it was socially beneficial. In making its decision it calculated private costs at \$700m, private benefits at \$800m and external costs at \$200m.

$SB > SC$

What must have been true about the external benefits of the scheme?

- ☐ A External benefits equalled private benefits.
- ☐ B External benefits exceeded external costs.
- ☒ C External benefits exceeded \$100m.
- ☐ D There were no external benefits.

$$PC = 700$$

$$PB = 800$$

$$EC = 200$$

$$SC = PC + EC$$

$$700 + 200 \Rightarrow 900$$

$$SB = PB + EB$$

$$800 + x \Rightarrow \underline{\underline{> 900}}$$

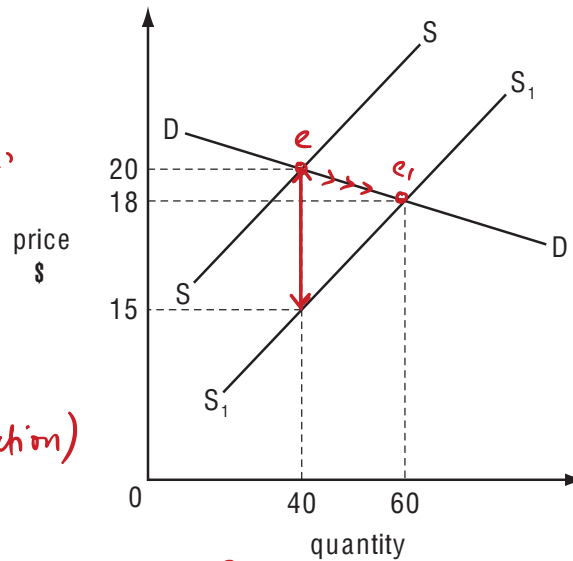


$$x \Rightarrow 100$$

To be socially beneficial

- 16 A tax on a product is removed causing supply to increase from  $S$  to  $S_1$  as shown in the diagram.

per unit :-  $20 - 15 = '5'$   
 x Qty  
 Total  
 tax revenue  
 $5 \times 40 \Rightarrow 200$  (reduction)



*Reduces*

$P \times Q = TR / TE$

What effect does the move have on government tax revenue and consumer expenditure?

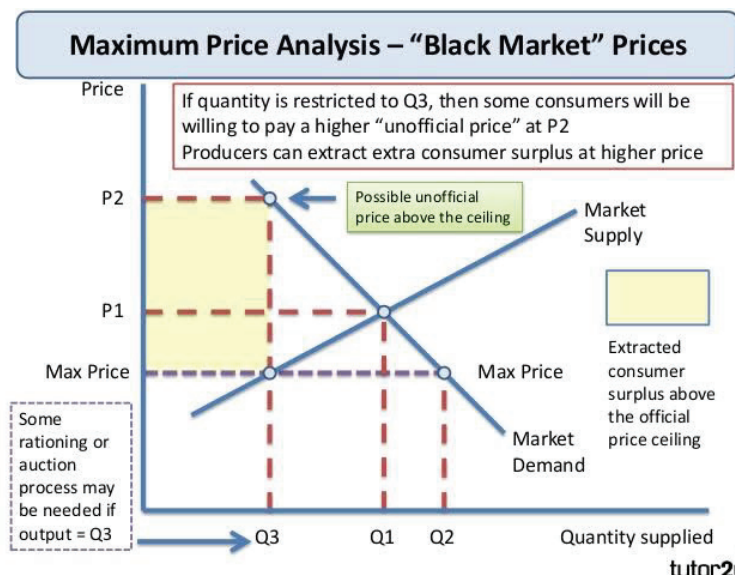
|                                       | tax revenue       | consumer expenditure |
|---------------------------------------|-------------------|----------------------|
| A                                     | reduce by \$80    | increase by \$280 ✓  |
| B                                     | reduce by \$80    | increase by \$480    |
| <input checked="" type="checkbox"/> C | reduce by \$200 ✓ | increase by \$280 ✓  |
| D                                     | reduce by \$200 ✓ | increase by \$480    |

$18 \times 60$  (New) = 1080  
 $20 \times 40$  (old) = 800  
 + 280

- 17 Which type of government intervention runs the risk of causing shortages?

- ☒ A maximum price controls  
 B specific indirect taxes  
 C subsidies paid to some producers  
 D taxes on company profits

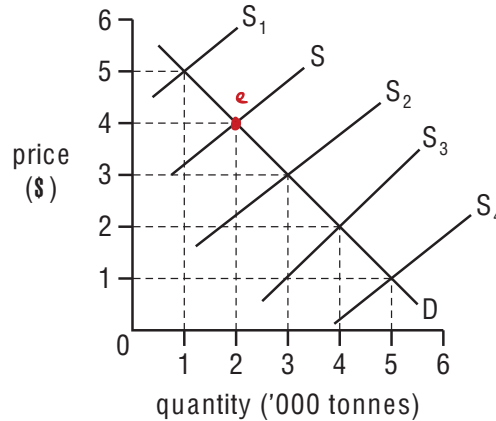
*All forms equilibrium*



- 18 In the diagram, D is the demand curve of an agricultural commodity and S is the initial supply curve.

$$4 \times 2000 \Rightarrow 8000$$

The government promises to maintain farmers' incomes at least at this initial level. The harvests in four subsequent years are shown by supply curves  $S_1 - S_4$ .



✓  $Y_1 :- 5 \times 1 = 5000$  (Yes)  
 $Y_2 :- 3 \times 3 = 9000$  (No)  
 $Y_3 :- 2 \times 4 = 8000$  (No)  
 ✓  $Y_4 :- 1 \times 5 = 5000$  (Yes)

In which years will the government need to provide extra income to farmers?

- A 1 and 2    ~~B~~ 1 and 4    C 2 and 3    D 3 and 4

- 19 The table shows the costs of producing a unit of food and a unit of clothing in countries X and Y, expressed in the currency of each country.

| country | food | clothing |
|---------|------|----------|
| X       | \$2  | \$4      |
| Y       | £1   | £1       |

convert the exchange rate in '\$'

$$£1 : \$3$$

$$£\frac{1}{3} : \$1$$

$$\boxed{£0.33 : \$1}$$

If this 'ER' equals transport cost, cease the trade  
 ↑↑

The exchange rate is fixed at  $£1 = \$3$ .

(To gain from trade, exchange rate must lie between the opportunity cost of 2 countries)

What level of transport cost per unit of each commodity would exactly eliminate the benefits of trade?

- ✓ A £0.33    B £0.50    C £1.00    D £1.50  
 $\$1 : £0.33$      $1\$ : £0.50$      $\$1 : £1.00$      $\$1 : £1.50$

- 20 What is the most likely aim of a government that increases the level of tariffs on imported manufactured goods?

- A a fall in interest rates    Monetary policy (no link)  
 B a fall in the exchange rate [ER improves]  
 ✓ C a rise in domestic employment  
 D a rise in the general price level

↳ consequence, not aim

Switching policy

M (prices ↑)

M Qty ↓

M (TE) ↓

Switch to domestic

C ↑ AD ↑ multiplier

employment

9

21 What is a characteristic of a customs union but is not of a free trade area?

- A abolition of import quotas  
 B abolition of tariffs between member countries  
 C a common currency  
 ✓ D a common external tariff

| Free Trade Area                                                                                                                                                                     | Customs Union                                                                                                                                                                | Single Market                                                                                                                                                                            |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"> <li>- No tariffs between members</li> <li>- No external tariff (checks on country of origin)</li> <li>- Can negotiate own trade deals</li> </ul> | <ul style="list-style-type: none"> <li>- No tariffs.</li> <li>- No border checks</li> <li>- Common external tariff</li> <li>- Trade deals for whole customs union</li> </ul> | <ul style="list-style-type: none"> <li>- No tariffs</li> <li>- Common external tariff</li> <li>- Freedom of movement goods and people</li> <li>- Common rules and regulations</li> </ul> |

www.economicshelp.org

22 Since 2000 a country's export prices have increased on average by 50% and its import prices by 25%.

125

$$TOT = \frac{X_{prices}}{M_{prices}} \times 100$$

150

What is the current figure for the country's terms of trade (2000 = 100)?

$$\frac{150}{125} \times 100 \Rightarrow 120$$

- A 75      B 83      ✓ C 120      D 125

23 The table gives details of the unemployment rates and expenditure on unemployment benefits for the United Kingdom in 2007 and 2009.

|      | unemployment rate (%) | expenditure on unemployment benefits as % of GDP |
|------|-----------------------|--------------------------------------------------|
| 2007 | 2.7                   | 1.6                                              |
| 2009 | 4.7                   | 3.4                                              |

What can definitely be concluded from the table?

- ✓ A More of the workforce was unemployed in 2009 than in 2007. *Data in %*  
 B The number of workers in employment was higher in 2007 than in 2009. *Amount not mentioned*  
 C Unemployment benefits were more generous in 2009 than in 2007.  
 D Unemployment increased faster than expenditure on unemployment benefits. *Rate mentioned, not value*

24 The exchange rate of the Mexican peso against the US\$ changed from 10 pesos = 1 US\$ to 9 pesos = 1 US\$. During the same period, the general price level in Mexico fell by 10% while the US price level remained unchanged.

What happened to the nominal and real exchange rate of the peso against the US\$?

|     | nominal peso exchange rate | real peso exchange rate |
|-----|----------------------------|-------------------------|
| ✓ A | appreciated ✓              | appreciated             |
| ✓ B | appreciated ✓              | unchanged ✓             |
| C   | depreciated                | depreciated             |
| D   | depreciated                | unchanged ✓             |

$$\frac{1\$ : 10 \text{ pesos}}{1\$ : 9 \text{ pesos}} \left] +10\% \right.$$

Depreciate    Appreciate

$$\text{Real peso ER} = \text{Nominal peso ER} - \text{Inflation}$$

$$\text{Unchanged} = 10\% \uparrow \quad 10\% \downarrow$$

$$\left( \frac{\text{New} - \text{old}}{\text{old}} \times 100 \right)$$

- 25 The table shows an index number of prices between 2009 and 2012.

In the base year of 2008, inflation was 2% per annum.

What was the first year in which the rate of inflation fell?

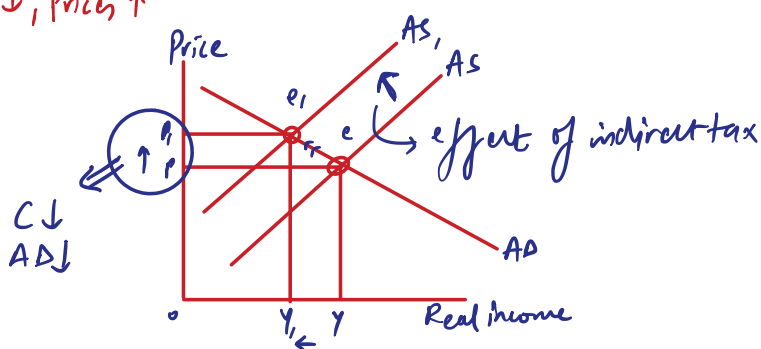
|   | year | price index |
|---|------|-------------|
| A | 2009 | 103         |
| B | 2010 | 104         |
| C | 2011 | 104         |
| D | 2012 | 101         |

Base year  
 $2008 \rightarrow 2\%$   
 $2009 \rightarrow 3\% (103 - 100)$

$$0.97\% \left( \frac{\text{New} - \text{old}}{\text{old}} \times 100 \right)$$

- 26 What will be the probable effect of an increase in indirect taxes on demand-pull inflation and on cost-push inflation?  $\text{Tax} \uparrow, \text{cost} \uparrow, \text{AS} \downarrow, \text{Prices} \uparrow$

|   | demand-pull inflation | cost-push inflation |
|---|-----------------------|---------------------|
| A | increase              | increase ✓          |
| B | increase              | decrease            |
| C | decrease ✓            | decrease            |
| D | decrease ✓            | increase ✓          |



- 27 When is a balance of trade deficit likely to be considered a particularly difficult problem for a country?

A when the imported goods are identical to domestic products

B when the imported goods are items of capital equipment *long term growth*

C when the imported goods are the raw material for exports *finished goods will be exported*

D when the imported goods are to cover a temporary shortage *short term problem*

Same product manufactured in domestic market is being imported!

For a while

sterling against the dollar (\$ per £)

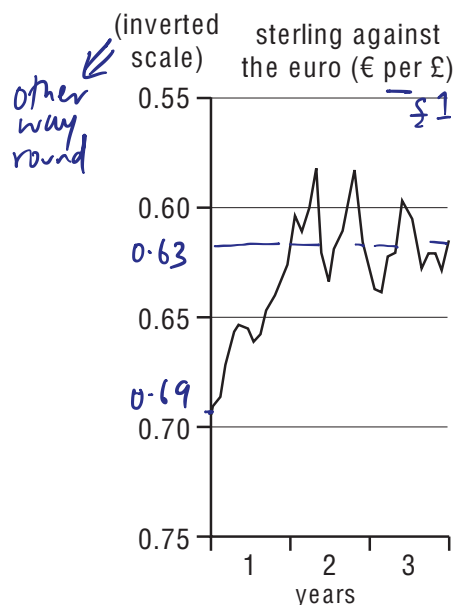
1 £ : \$1.65 (start)  
2 £ : \$1.42 (end)

Dep \* App

1.80  
1.70  
1.60  
1.50  
1.40  
1.30

1 2 3

years



1 £ : € 0.69  
(start)

1 £ : € 0.63  
(end)

| <u>Dep</u> | <u>App</u> |
|------------|------------|
| *          |            |

**A** the £ appreciated against the \$ and the €

**B** the £ appreciated against the \$ and depreciated against the €

**C** the £ depreciated against the \$ and the €

**D** the £ depreciated against the \$ and appreciated against the €

What would be expected to rise for the United States as a result of this change?

- A** the level of unemployment Depreciate, BOT surplus, Unemployment  $\downarrow$
- B** the price of exports sold in Japan Depreciate,  $X$  prices  $\downarrow$
- C** the rate of imported inflation  $M$  prices  $\uparrow$  or  $X$  price of Japan high (Raw material exported)
- D** the volume of imports  $M$  prices  $\uparrow$ ,  $M$  Qty  $\downarrow$   
 $\downarrow$   
 Qty

Appreciation

30 A country with a fixed exchange rate experiences a balance of payments surplus.

Which policy measure will enable it to maintain its exchange rate at its target level?

A decreasing government borrowing *less rolling*

B decreasing government spending *G↓, incomes↓, M(TE)↓, Supply \$↓, Appreciation*

☒ C decreasing the interest rate *Demand \$↓, Supply \$↑ ⇒ Depreciation*

D decreasing the money supply

*↓  
m<sup>s</sup>↓, r↑, D\$↑, Appreciate*